



Prof. Dr. Sheikh Abu Taher

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MBA 503 (Managerial Finance)

The course is designed to provide brief understanding of finance to firms and business companies. The major objective of this course is to provide solid understanding of basic financial principles in the area of managerial finance especially in understanding financial statement analysis, measuring the risk and return, time value of money, making capital budgeting decisions, determining the cost of capital and so on. After learning the course, the students are expected to carry basic understandings of finance within an organization.

Required Texts:

1. **Fundamentals of Financial Management, Author: Eugene F. Brigham, Joel F. Houston (10th edition)**
 2. **Principles of Managerial Finance, Author: Lawrence J. Gitman (Latest edition)**
- N.B. Other related course materials shall be explained and delivered accordingly

Evaluation and Grading:

The overall evaluation of the course will be as follows:

Class tests/ Mid-term examination	40%
Assignments/ Reports	10%
Class participation	10%
Final examination	40%

Detail course outline:

1. **An Overview of Financial Management:** What is finance, finance principles and their meaning, area of finance, financial management, functions of financial managers, goals of the corporation, agency relationship, managerial actions to minimize the agency problems.
2. **Analysis of Financial Statements:** Financial statements and reports: balance sheet, income statement, statement of retained earnings, various ratio analysis, trend analysis, the DuPont analysis, comparative ratios and benchmarking, limitations of ratio analysis, etc.
3. **Risk and Rates of Return:** Measurement of return and risk, return and risk in the portfolio concept, diversifiable vs. market risk, concept of beta and security market line.
4. **Time Value of Money:** Meaning, future and present value, compounding and discounting, compound interest, annuity and amortization.
5. **Valuation of Bonds and Stocks:** What is bond, characteristic of bonds, bonds valuation and bonds yields, characteristics of common and preferred stocks, valuation of stocks, expected return on constant growth of stock.

6. **The Cost of Capital:** Weighted Average Cost of Capital (WACC), cost of debts, stocks, and retained earnings, determination of WACC.
7. **Capital Budgeting Decisions:** Capital budgeting definition, importance, steps, classification of ideas and techniques of capital budgeting.
8. **Dividend Policy:** Factors Influencing Dividend Policy, Dividend Stability, Rational for Low and High Pay-out Ratio, Dividend Vs Capital Gains, What do Investors Prefer? Residual Theory of Dividends and Dividend Irrelevance, Dividend and Firm Value.
9. **Latest Issues in Finance:** Alternative finance, Issues in alternative finance, financial development, FinTech policy and infrastructure, digital finance, etc

Course Policies:

1. Calendar changes: The course calendar and assignments are subject to change per my directives in class or via messages or postings in Notice Board. You are responsible for being aware of changes even if you are absent for any reason.

2. Attendance: Regular attendance is expected at class. Since class discussion and assignments will form the basis for the majority of the learning in this class, it will not be possible to recreate class discussion. If you miss multiple classes, REGARDLESS OF THE REASON, then you may lose the opportunity to add CLASS PARTICIPATION BONUS MARKS. Therefore, you should plan accordingly and not skip classes unless you are genuinely wanted to do so.

3. Examinations: THE DATES FOR THE MID-TERM AND FINAL EXAMINATION WILL BE ANNOUNCED AND PLANNED ACCORDINGLY! Questions about the content of examinations may only be asked to me in regular class sessions when all of your classmates are present to hear my response. I will not answer questions privately or via e-mail.

4. Having Difficulty? If you are encountering difficulties with any aspect of the course, please contact me as soon as the problem arises. Delays in seeking assistance can complicate minor matters. Do not wait until just before an examination or until the end of the semester to request help.

-Good Luck-